Tax cuts alone or reform alone are not enough

01 / POLICY | Leave money in private hands and move people, capital and businesses into growth areas through structural reform

The role of tax cuts
Reducing income tax, social insurance burdens and corporate taxation can increase household disposable income and companies' investment capacity. The key is to combine cuts with conditions that encourage consumption, investment and wage growth, rather than treating them as mere transfers.

The role of the Schröder reforms
In the early 2000s, Germany implemented labor-market reforms covering unemployment benefits, job placement and low-wage employment. The aim was to avoid entrenched unemployment, make job creation easier and encourage a return to the labor market.

A combination for Japan
“Lower the tax burden” plus “make it easier for workers and capital to move to growing companies.” Pursuing both can target supply capacity and productivity, beyond merely stimulating demand.

Tax cuts return usable money to the private sector

02 / TAX CUT | Broaden household and business choices; permanent cuts must be consistent with funding

Households
More take-home pay expands choices for consumption, saving and investment. Especially under inflation, higher nominal wages may bring little felt improvement if taxes and social insurance contributions also rise.

Companies
Lower taxation creates room for capital expenditure, R&D, M&A and wage increases. If companies simply accumulate cash, however, productivity gains are limited.

Cautions
Tax cuts are not a cure-all. Permanently widening fiscal deficits can raise concerns about future tax increases, spending cuts and higher interest rates. Consider spending reform and a broader tax base through growth together.

The core of a Japanese version of the reforms

03 / REFORM | Protect workers' livelihoods and fresh starts rather than their current company or job

1. Labor mobility
Maintain livelihood protection during unemployment and job changes, while strengthening vocational training, reskilling and job-transition support. Create routes into growth sectors rather than tying people to declining ones.

2. Corporate renewal
Do not keep low-productivity companies alive indefinitely through subsidies and financial assistance alone. Use M&A, business transfers and exits to move businesses to the “best owner,” who can create more value.

3. Capital reallocation
Rather than merely retaining surplus funds, compare investment, wage increases, M&A and shareholder returns, and direct funds to uses that exceed the cost of capital. Move both talent and capital.

The goal is a strong private economy

04 / CONCLUSION | Not “small government”: tax cuts create capacity, reforms change allocation, growth broadens the tax base

Designing a virtuous cycle

Tax cuts → more take-home pay and investment capacity → consumption, capital expenditure and entrepreneurship. Structural reform → movement of talent, capital and businesses → higher productivity. If both work together, sustained growth in wages and corporate profits becomes possible.

Preparing for side effects

Abandoning those who lose jobs or income during reform widens inequality and opposition. The design must protect people through unemployment benefits, retraining and re-employment support, rather than protect companies.

Conclusion

Tax cuts alone may end as temporary demand stimulus. Reform alone may bring pain first. Advancing “tax cuts × safety net × structural reform” together is one policy package for strengthening Japan's growth capacity.